

Tencent Holdings Limited — DCF Valuation Model

Financial Modeling Project | June 2026 | Prepared by **Or Ka Yung, Terrance** (BSc Statistics, CUHK)

KEY RESULTS (Base Case Assumptions)

Metric	2026	2027	2028	2029	2030
FCFF (RMB m)	186,262	201,579	209,332	215,849	221,702
Terminal Value (Avg, RMB m)	3,124,707	3,274,388	3,342,952	3,404,690	3,479,673
Enterprise Value (RMB m)	4,514,398				
Equity Value (RMB m)	4,534,630				
Implied Share Price	RMB 490.55				

POST-MODEL MARKET VALIDATION

Following the 2025 Annual Report release, Tencent shares traded near **HKD 590–610** (end-Dec 2025), representing a clear premium to the model's implied fair value. By June 2026, the share price corrected sharply into the **HKD 410–460** range (lows near 412), directionally validating the conservative growth normalization and margin assumptions embedded in the model.

2025 FINANCIAL & OPERATIONAL HIGHLIGHTS (from Annual Report)

- **Revenue:** RMB 751.8 bn (+13.9% YoY). Primary driver: **VAS +16%** to RMB 369.3 bn, fueled by breakout global success of *Delta Force* and sustained performance of evergreen titles (*Honour of Kings*, *Peacekeeper Elite*) plus international expansion (Supercell, PUBG MOBILE, Wuthering Waves).
- **Marketing Services:** +19% YoY to RMB 145.0 bn — stable high-teens growth. AI-powered ad targeting (AIM+), closed-loop Mini Programs/Shops, and Video Accounts engagement reinforced WeChat ecosystem's dominance in Chinese digital advertising.
- **FinTech & Business Services:** +8% YoY; Cloud achieved profit at scale on AI workload demand and PaaS/SaaS strength. FinTech maintained healthy growth via wealth management and payments with prudent risk controls.
- **Profitability & Capital Efficiency:** Gross margin expanded to 56% (vs 53% prior year). Operating margin resilient. ROIC ~21.8%, Current Ratio 1.44, strong net cash position. No liquidity concerns or inefficient capital allocation evident. Low financial leverage consistent with historical profile.

KEY ASSUMPTIONS & RATIONALE

1. WACC & Capital Structure: Risk-free rate 4.0% and beta 1.15 selected as stable long-term averages for a mature, globally-exposed telecom/internet services leader. Target 90% equity / 10% debt weight reflects Tencent's historically cash-rich, low-leverage balance sheet (net cash position, minimal need for aggressive debt financing).

2. Revenue Growth by Segment: VAS growth front-loaded (high single to low double-digit) reflecting *Delta Force*'s second-year contribution (benchmarked against peer titles

such as *Genshin Impact*), then tapering from 2028 as it matures into an evergreen franchise (comparable to *Honour of Kings*). Marketing Services and FinTech/Business Services assumed modest near-term growth (7–10%), with acceleration post-2028 as multi-year AI infrastructure and top-talent investments begin to deliver measurable monetization and operating leverage.

3. Margins: Gross margin gradually rising toward 58% and EBIT margin toward ~33.7% by 2030. Trajectory derived from historical segment mix shifts, weighted toward higher-margin VAS and AI-enabled services, with conservative operating leverage assumptions. Long-term profile remains stable with low volatility.

4. Terminal Value: Perpetual growth rate 2.5% (conservative proxy for long-term China nominal GDP growth + inflation). Exit multiple 12x — appropriate for a high-quality, defensible franchise with scale advantages, strong cash generation, and strategic importance in China's digital economy. Dual-method averaging (Gordon + Exit) reduces single-method bias.

OVERALL ASSESSMENT & CAREER RELEVANCE

This project demonstrates the ability to synthesize complex narrative from Tencent's Annual Report (game pipeline commentary, AI roadmap, WeChat ecosystem resilience, cloud profitability inflection) into granular, segment-level quantitative forecasts. Conservative assumption-setting — avoiding over-optimism on new-game sustainability and AI payoff timing — produced a valuation outcome that proved directionally accurate amid 2025–26 market movements. The work highlights proficiency in advanced Excel-based financial modeling, segment-specific forecasting, WACC construction, and connecting qualitative strategy (long-term AI capex for competitive moat) with valuation implications. These competencies are directly transferable to equity research, wealth management, and TMT/China-focused investment roles.